

FIRST QUALITY KNITSS
- A DIVISION OF NECTAR CRAFTS



SUSTAINABLE PROCUREMENT POLICY

📍 SF. No.87, Konakkadu Thottam, Arivoli Nagar, Naranapuram
Post, Palladam Taluk- 641664, Tiruppur, Tamil nadu, India



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INTRODUCTION

First Quality Knitss, a division of Nectar Crafts, is dedicated to building a responsible and resilient supply chain that aligns with our broader commitment to ethical business practices, environmental stewardship, and global compliance. As a vertically integrated manufacturer, we oversee every stage of production, from knitting to finishing and packaging, enabling us to embed sustainability and quality controls throughout our sourcing and operational processes.

Our sourcing strategy emphasizes partnerships with suppliers who share our values and meet internationally recognized standards such as GOTS, OEKO-TEX®, REACH, and ZDHC. We are committed to procuring raw materials and services that minimize environmental impact, ensure safe and fair working conditions, and support continuous improvement across the value chain.

Through this policy, First Quality Knitss aims to ensure traceability, promote sustainable material use, reduce social and environmental risks, and foster long-term, transparent relationships with suppliers. In doing so, we seek to meet the expectations of our global clients and contribute positively to the broader goals of sustainable development.

SCOPE

This policy applies to all sourcing and procurement activities at First Quality Knitss., including raw materials, components, and services. It extends to the entire supply chain, covering suppliers, contractors, and business partners and ensures responsible practices related to labor, environment, compliance, and human rights across all regions of operation.

Sr. No.	Site	Address
1	First Quality Knitss	SF. No.87, Konakkadu Thottam, Arivoli Nagar, Naranapuram Post, Palladam Taluk- 641664, Tiruppur, Tamil Nadu, India

POLICY DECLARATION

First Quality Knitss, a division of Nectar Crafts, is committed to sourcing materials and services responsibly, with respect for the environment, human rights, and ethical business practices. We expect all suppliers and partners to comply with applicable laws and international standards such as GOTS, OEKO-TEX®, REACH, and ZDHC.



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This policy guides our efforts to reduce environmental impact, ensure fair labor practices, and promote transparency and traceability across our supply chain. Through sustainable sourcing, we aim to drive continuous improvement and contribute to a more responsible textile industry.

KEY FOCUS AREAS

- **Environmentally Responsible Procurement:** We prioritize suppliers who actively reduce their environmental footprint through efficient resource use, emissions reduction, and responsible waste management.
- **Upholding Fair Labor Standards:** We require all suppliers to ensure safe working conditions, fair wages, and strict prohibition of child, forced, or exploitative labor across all tiers of the supply chain.
- **Ethical Business Conduct:** Suppliers are expected to maintain compliance with all legal requirements, uphold anti-corruption practices, and operate with transparency and integrity.
- **Partnership for Sustainable Impact:** We collaborate with suppliers to foster innovation, reduce environmental impact, and create shared social value throughout the supply chain.
- **Inclusive & Local Sourcing:** We support local communities and promote supplier diversity by engaging with small, inclusive, and responsible enterprises wherever possible.

OBJECTIVES AND TARGETS

The following targets are set with year 2022 as the baseline year, that reflects our commitment to advancing responsible sourcing practices across environmental, social, and ethical dimensions of our supply chain with targets set to be achieved by year 2027.

1) Environmentally Responsible Procurement

- Collaborate with suppliers demonstrating measurable environmental performance.
- Ensure 100% of suppliers comply with First Quality Knitss' environmental standards by year 2027
- Increase procurement from ISO 14001-certified suppliers by 50% by year 2027.
- Achieve a 10% reduction in supplier-related carbon emissions by year 2027.

2) Upholding Fair Labor Standards

- Require all suppliers to follow fair labor practices, including the elimination of child and forced labor, fair wages, and safe working conditions.
- Conduct annual labor compliance audits for 100% of suppliers.



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- Maintain full compliance with child and forced labor policies across the supply chain.
- Achieve 100% verified alignment with international labor and human rights standards among suppliers by year 2027.

3) Ethical Business Conduct

- Promote integrity and accountability by engaging suppliers who follow ethical business practices and legal compliance.
- Integrate anti-corruption clauses in 100% of supplier contracts by year 2027.
- Deliver ethics and compliance training to 90% of key suppliers annually.

4) Partnership for Sustainable Impact

- Partner with suppliers to co-create sustainable innovations and improve the collective environmental and social impact of the supply chain.
- Launch a joint supplier sustainability initiative by year 2027.
- Increase supplier participation in sustainability reporting by 40% year 2027.

5) Inclusive & Local Sourcing

- Strengthen the local economy and foster diversity by sourcing from community-based and underrepresented suppliers.
- Increase national sourcing by 50% by year 2027.
- Ensure 15% of supplier base includes small or diverse businesses by year 2027.

TARGETS IN ALIGNMENT WITH SDGS



RESPONSIBILITIES

- **Procurement Team:** Responsible for embedding sustainable sourcing principles into supplier selection, contract terms, and performance evaluations.



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- **Sustainability Team:** Oversees supplier performance on environmental, social, and ethical criteria and supports capacity-building and continuous improvement efforts.
- **Suppliers:** Expected to comply with First Quality Knitss' sustainable sourcing standards, provide relevant disclosures, and fully cooperate during audits and assessments.
- **Senior Management:** Provides strategic oversight, allocates necessary resources, and ensures enforcement of the policy through regular reviews and performance monitoring.
- **All Employees Involved in Sourcing:** Expected to uphold this policy, support responsible procurement practices, and report any non-compliance or concerns through designated reporting channels.

MONITORING, REPORTING & TRANSPARENCY

First Quality Knitss ensures accountability in sustainable procurement through regular monitoring of supplier practices. Key indicators, such as labor standards, environmental compliance, and ethical conduct, are tracked via audits, assessments, and supplier scorecards.

Findings are reviewed periodically and reported to senior management to support continuous improvement and risk management. Any significant issues are addressed through corrective actions, ensuring transparency and alignment with our sustainability goals.

REVIEW MECHANISM

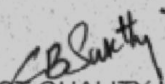
The Sustainable Sourcing Policy will be reviewed annually by the Procurement Officer to ensure its continued relevance, effectiveness, and alignment with evolving regulations, global best practices, and business objectives. The review process will be jointly overseen by the Procurement and Sustainability Teams, in consultation with relevant department heads.

Supplier compliance will be evaluated through routine audits, sustainability scorecards, and feedback mechanisms. The results of these evaluations will guide corrective actions, supplier engagement strategies, and future policy updates. Significant changes will be approved by senior management and clearly communicated to all relevant stakeholders across the supply chain.

Effective Date: 01.01.2025

Next Review Date: 01.01.2026

Approved By:


FIRST QUALITY KNITSS
SF No: 87, Konakkadu Thottam,
Arivoli Nagar, Naranapuram (PO),
Palladam (TK), TIRUPUR - 641 664.
GSTIN : 33AAJFF0223M1ZR



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EMPLOYEE ACKNOWLEDGEMENT & COMMITMENT

I hereby acknowledge that I have read and understood the Sustainable Procurement Policy of **First Quality Knitss**. I am aware of the company's commitment to ethical, transparent, and sustainable sourcing practices across its textile and apparel supply chain.

I understand that responsible sourcing involves respecting human rights, avoiding materials linked to unethical or illegal practices, ensuring fair labor conditions, and complying with all relevant environmental and social standards. I recognize that maintaining these principles is a shared responsibility vital to the integrity and sustainability of our operations.

By signing this document, I confirm my commitment to upholding responsible sourcing practices, reporting any concerns through the appropriate channels, and actively participating in related training and awareness programs. I affirm my role in supporting a supply chain rooted in ethics, accountability, and environmental and social responsibility.

Employee Name

_____ Baby _____

Employee ID

: _____ 1898 _____

Date

: _____ 27/01/2025 _____

Signature

: _____ [Signature] _____